Type MS · Division of labour: meaning, benefits and drawbacks

Answer 1 of 11 · Question 1 part h · 3 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **B** Positive economic growth A is not correct because this would shift the PPF inwards C is not correct because it does not show long-run average costs increasing with a rise in output D is not correct because it does not show long-run average costs decreasing with a rise in output	**(1)**

Question number	A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** $10 000 profit A is not correct because total costs have not been deducted C is not correct because a profit would be made and not a loss D is not correct because this is $10 000 - $20 000	**(1)**

Question number	What is meant by the term privatisation? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to moving from the public sector and 1 mark for reference to transfer of ownership to the private sector The government sells/transfers an organisation (in the public sector) **(1)** to the private sector **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 1 of 11 · Question 1 part h · 3 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	State **one** reason why the government regulates competition in the economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct reason • To promote competition • To limit monopoly power • To protect consumer interests • To control mergers and takeovers Accept any other appropriate response	**(1)**

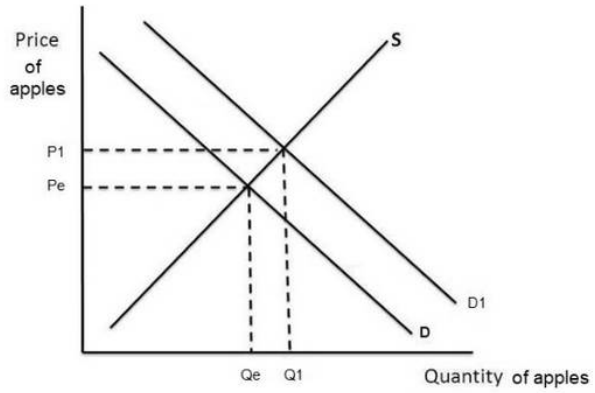
Question number	Define the term congestion. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A situation where a place is crowded Accept any other appropriate response	**(1)**

Question number	Calculate the **total variable costs** for the firm each month. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €16 500 + €95 000 **(1)** Award 1 mark for correct total variable costs €111 500 **(1)** Award 2 marks if total variable costs per month are correctly calculated as €111 500, even if no calculations are shown Award 1 mark for 111 500 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 1 of 11 · Question 1 part h · 3 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** advantage of using division of labour for the firm. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Production is more efficient **(1)** because workers at the factory will not need to change tools repeatedly to do a different task **(1)** meaning the quantity of tennis balls produced could increase **(1)** • Workers specialising in one task become better at that task **(1)** making them more productive **(1)** and helping to lower the average costs of producing each tennis ball **(1)** Accept any other appropriate response	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 1 of 11 · Question 1 part h · 3 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Sea water is a natural resource, which is land • The salt is removed by filtering the water through machines in order to make the water drinkable, which is capital • The process of ensuring all the salt and impurities have been removed from the water is done by labour (production workers) • Enterprise combines the other factors of production to make sure the water gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce drinking water as, without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 1 of 11 · Question 1 part h · 3 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	Which **one** of the following would occur when there are unsold goods in a market? **Answer**	**Mark**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 2 of 11 · Question 4 part c · 12 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation €5.87 x 175 **(1)** Award 1 mark for calculating correct monthly gross income = €1 027.25 **(1)** Award 1 mark if monthly gross income is calculated as 1 027.25 with or without calculation Award 2 marks if monthly gross income is accurately calculated as €1 027.25, even if no calculations are shown	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 2 of 11 · Question 4 part c · 12 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 4 · find part c in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs fall as a firm expands • Internal economies of scale can be purchasing, marketing, technical, financial, managerial or risk bearing • By joining the Sky Team, Vietnam Airlines is able to operate as if it is a larger airline as the 19 airlines can share some of the costs • Vietnam Airlines could share marketing costs, such as advertising with some of the other airlines in the Sky Team to reduce its average costs • Vietnam Airlines may be able to offer more routes or make improvements to planes through cooperation with other member airlines such as KLM or China Airlines, therefore benefitting from technical economies of scale • This may mean Vietnam Airlines can attract more passengers and so its average costs are reduced as each flight is more likely to be full • This means Vietnam Airlines may be able to expand and benefit further from other economies of scale

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 2 of 11 · Question 4 part c · 12 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 4 · find part c in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Division of labour means dividing the production process into different stages where each worker specialises in one task • Productivity is the amount of output that can be produced in a period of time, with a given quantity of resources • Division of labour leads to less time being wasted as workers will not have to switch between different parts of production such as mixing ingredients and kneading the dough • This means the employees at the noodle-making factory can become more productive as they will be able to carry out each task quicker than if constantly changing between roles • The employees may also be more productive as they are able to develop skills in the task they perform, becoming more specialised • This may be particularly important in order for Wong's factory to meet the demand of the 70% of noodle-based food stalls in Jenjarum, to whom it sells **AO4** • However, the noodle-making factory employees may find doing the same task, such as cutting noodles to various sizes, very boring and monotonous • This could mean they lose concentration and may make mistakes, leading to a lower rate of productivity • Therefore a delay in supplying the noodle stalls in Jenjarum could occur and could lead to a loss of business for the factory • Improving the quality of labour by training employees to use noodle-making equipment could increase productivity more, as could investing in more advanced noodle-making machinery • It depends whether the noodle-making tasks require much training as they maybe more suited to the division of labour process • Wong could introduce rotation of tasks to reduce the monotony or use division of labour alongside other factors, such as more advanced machinery

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 2 of 11 · Question 4 part c · 12 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 3 of 11 · Question 2 part h · 9 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: Total cost **C** ---------- Quantity produced A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 3 of 11 · Question 2 part h · 9 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part h in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 3 of 11 · Question 2 part h · 9 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part h in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 3 of 11 · Question 2 part h · 9 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part h in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 3 of 11 · Question 2 part h · 9 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 3 of 11 · Question 2 part h · 9 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part h in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 4 of 11 · Question 1 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Division of labour B is not correct because this is creating products from new ideas C is not correct because this is using more labour during production than capital D is not correct because this relates to the rate of production due to given resources	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** Total revenue A is not correct because this is $10 B is not correct because only variable costs are shown, not fixed costs C is not correct because this would be total revenue – total costs	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to decreased income Goods for which demand will increase **(1)** as incomes decrease **(1)** **OR** Goods for which demand will decrease **(1)** as incomes increase **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 4 of 11 · Question 1 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Negative advertising • Fall in income • Negative fashion/taste change • Fall in price of substitute goods • Rise in price of complementary goods • Decrease in the population Accept any other appropriate response	**(1)**

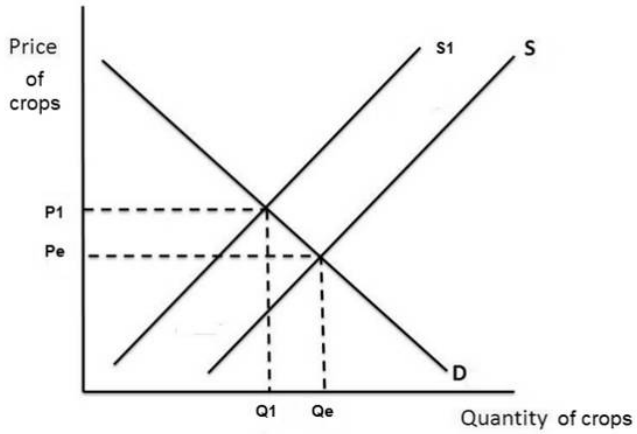
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Converting resources into goods or services Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.1%/1.6% **(1)** Award 1 mark for correct PED = -1.31 **(1)** Award 2 marks if PED is correctly calculated as -1.31, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 4 of 11 · Question 1 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • As China has become more developed, demand for services has increased **(1)** because people demand more of things like education and health care as the economy grows **(1)** therefore employment is likely to transfer from the primary sector towards the tertiary sector **(1)** Accept any other appropriate response	(3)

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 4 of 11 · Question 1 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that businesses aim to maximise profits • It may take time to find suitable ways of reducing the overall amount of plastic used by 100,000 tonnes, which is likely to result in higher costs • By reducing the amount of non-recyclable plastic packaging it uses, Unilever is likely to incur higher costs as it uses the more expensive recyclable plastic • Unilever may need to source alternative suppliers to replace the remaining 600,000 tonnes of plastic packaging • This means that Unilever will not maximise profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 4 of 11 · Question 1 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 5 of 11 · Question 1 part h · 3 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Enterprise A is not correct because it is not a resource used in production B is not correct because it is not used to produce goods/services D is not correct because it is consumed by diners	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** $3 200 000 A is not correct because this is $160 x $120 B is not correct because this is 20 000 + $160 C is not correct because 20 000 x $120	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to increased income Goods for which demand will increase **(1)** as incomes increase **(1)** **OR** Goods for which demand will decrease **(1)** as incomes decrease **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula • Private benefits + external benefits	**(1)**

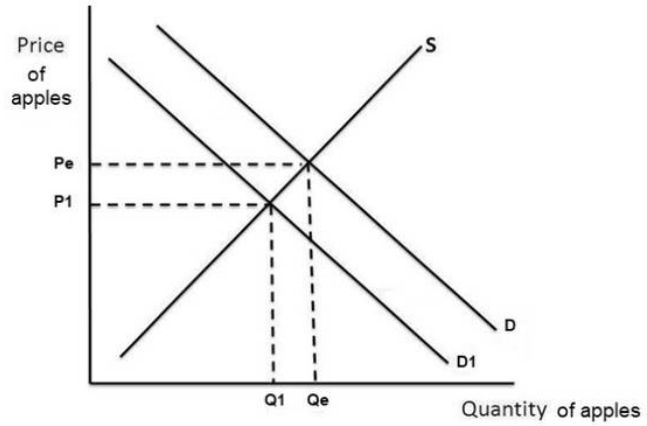
Type MS · Division of labour: meaning, benefits and drawbacks

Answer 5 of 11 · Question 1 part h · 3 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A specialised market for a particular product Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.7%/5.4% **(1)** Award 1 mark for correct PES = 0.87 **(1)** Award 2 marks if PES is correctly calculated as 0.87, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 5 of 11 · Question 1 part h · 3 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Employees may find the work boring/monotonous **(1)** because they spend the whole day sealing boxes for the orders **(1)** and they are repeatedly doing the same task **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Consumers are more likely to return plastic bottles because of the scheme, so they are able to get their €0.25 back • This is likely to reduce litter and the negative impact on the environment, therefore reducing negative externalities • The scheme is also cheaper for the government, meaning more funding could be available to benefit the environment • The 98.5% return rate shows the regulation is very successful and likely to reduce negative externalities significantly • More awareness of the problems caused by plastic bottles could be gained through adoption of the scheme, leading to better prevention of other plastic waste being discarded • This can have further long-term benefits for the environment

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 5 of 11 · Question 1 part h · 3 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 5 of 11 · Question 1 part h · 3 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 6 of 11 · Question 2 part g · 9 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Luxury A is not correct because the percentage changes are not the same C is not correct because the percentage change in quantity is positive D is not correct because the percentage change in quantity is greater than the percentage change in income	**(1)**

Question number	Which one of the following is the formula for social benefits? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Private benefits + external benefits A is not correct because it does not include any third-party effects B is not correct because it includes costs D is not correct because this is not the formula used to calculate social benefits	**(1)**

Question number	What is meant by the term trade union? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to an organisation for employees and 1 mark for reference to protecting the interests of members An organisation for employees **(1)** that aims to protect the interests of its members **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 6 of 11 · Question 2 part g · 9 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Calculate the average cost per unit (AC) for the firm when it makes 3,000 units. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation ($6 200 + $3 550) / 3,000 **(1)** Award 1 mark for correct average cost per unit (AC) = $3.25 **(1)** Award 2 marks if average costs per unit is correctly calculated as $3.25, even if no calculations are shown Award 1 mark for 3.25, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one way that high start-up costs can be a barrier to entry. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the way and 1 mark for development of the way • If a large amount of money is needed to set up a business **(1)** many potential competitors will not be able to raise/borrow such a large amount **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 6 of 11 · Question 2 part g · 9 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Explain one disadvantage of this type of market structure for UK consumers. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Firms in an oligopoly may collude with one another **(1)** Therefore, the supermarkets may fix prices for groceries **(1)** meaning consumers would have to pay higher prices **(1)** Accept any other appropriate response	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 6 of 11 · Question 2 part g · 9 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits for Foxconn Technology of using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour involves breaking down the production process into smaller tasks • Each worker specialises in only one task, such as handling the phone screen, checking the phone works and packaging the phone ready to ship to the customer • By specialising, efficiency is improved because workers can conduct tasks quicker and with more accuracy • This leads to an increase in productivity and lower costs of production for Foxconn Technology • Workers do not need to waste time moving between tasks and so greater efficiencies are created, again lowering production costs **AO4** • However, tasks such as checking the iPhone works is likely to be repetitive and could be very boring for the worker, meaning they may become poorly motivated • Therefore, mistakes may be made leading to the need for part of the production process to be repeated, reducing productivity • This could therefore increase the cost of production and reduce the profit made by Foxconn Technology • Problems may occur if one part of the production process fails. For example, if a broken phone screen is found, the phone cannot progress to the stage where it is packed to ship to the customer • This may be more likely due to the number of tasks that production is divided into with 270,000 workers • Specialisation may cause problems if a worker is absent and no one is able to take their place due to a lack of the specialist skill

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 6 of 11 · Question 2 part g · 9 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 6 of 11 · Question 2 part g · 9 marks

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Which one of the following is the definition of a merger? **Answer**	**Mark**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 7 of 11 · Question 1 part c · 2 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A secondary sector firm A is not correct because a primary sector firm extracts natural resources C is not correct because a tertiary firm produces services D is not correct because this is the tertiary sector	**(1)**

Question number	What is the monthly labour productivity of the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** 50 units A is not correct because this is 540 / 27,000 C is not correct because this is 540 + 27,000 D is not correct because this is 540 x 27,000	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to breaking production up and 1 mark for reference to employees are allocated only one task When a firm breaks up the production process **(1)** so that employees perform only one task **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 7 of 11 · Question 1 part c · 2 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	State one factor of production. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Land/labour/capital/enterprise	**(1)**

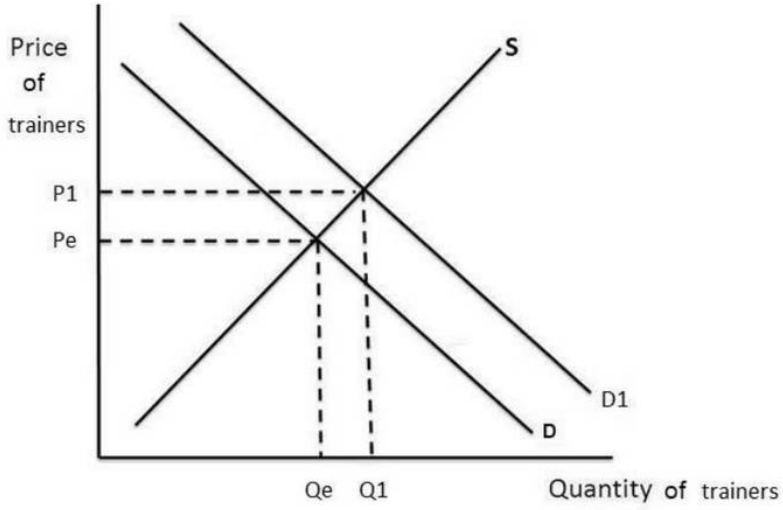
Question number	Define the term public sector. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Government provision of goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the price elasticity of demand (PED) for Yusef's portraits. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.2% / -2.5% **(1)** Award 1 mark for correct PED = -1.28 **(1)** Award 2 marks if PED is correctly calculated as -1.28, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 7 of 11 · Question 1 part c · 2 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 7 of 11 · Question 1 part c · 2 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	Explain one reason why Spice Cottage may not aim to maximise its profit. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • A business may have alternative business objectives, such as survival/growth **(1)** by selling at a lower price, Spice Cottage may not maximise revenue and therefore may not maximise profit either **(1)** the business may therefore attract more consumers due to the lower price, which will help the new firm to survive/grow **(1)** Accept any other appropriate response	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 7 of 11 · Question 1 part c · 2 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • These figures allow Megabus to calculate income elasticity of demand • Bus travel has an income elasticity of -15%/10% = -1.5 • The value of income elasticity is negative and therefore an inferior good • An inferior good is a product or service which has a decrease in quantity demand as incomes increase and increase in quantity demanded as incomes decrease (they have an inverse relationship) • Bus travel is income elastic because the percentage decrease in quantity demanded is greater than the percentage increase in income • This means that if passengers' incomes increase the demand for bus travel will fall but if incomes fall the demand for bus travel will rise • Awareness of this may allow Megabus to reduce/increase the services it offers in Canada, the US or the UK, depending on where incomes change • This could help to reduce costs if there is less demand for bus services • This can also help Megabus to plan employee requirements so it does not incur higher wage costs than necessary

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 7 of 11 · Question 1 part c · 2 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which one of the following options is the type of market shown in Figure 2? **Answer**	**Mark**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 8 of 11 · Question 1 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Inferior good A is not correct because this is purchased by firms to produce other goods which should increase in demand as consumer incomes increase C is not correct because demand would increase as incomes increase D is not correct because as incomes increase, so would demand	**(1)**

Question number	Which **one** of the following equals $1 740? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Total variable costs A is not correct because price cannot be calculated from the information B is not correct because there is not enough information to calculate revenue and therefore profit C is not correct because the quantity of units produced is needed to do this calculation	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to splitting up production and 1 mark for reference to tasks Breaking down the production process **(1)** into smaller tasks **(1)** Accept any other appropriate response	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 8 of 11 · Question 1 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	State **one** reason why a supply curve will shift to the left. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Rise in the cost of production • Rise in indirect taxes • Fall in subsidies • Natural factors/disasters Accept any other appropriate response	**(1)**

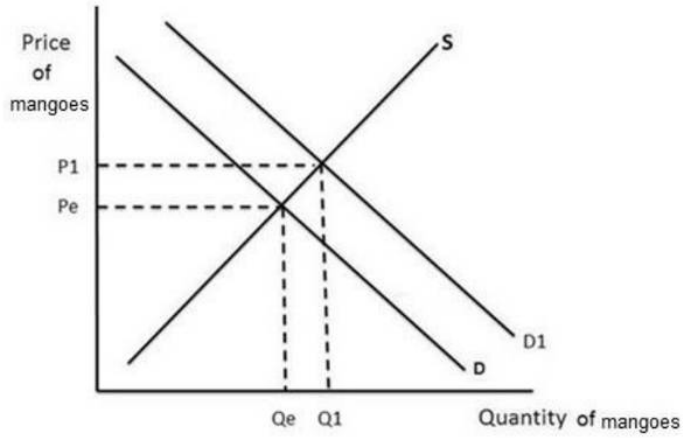
Question number	Define the term competition. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Rivalry that exists between firms Accept any other appropriate response	**(1)**

Question number	Calculate the **total revenue** for the firm when its monthly sales are 250 units. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €75 x 250 **(1)** Award 1 mark for correct total revenue = €18 750 **(1)** Award 2 marks if total revenue is correctly calculated as €18 750, even if no calculations are shown Award 1 mark if the answer given is 18 750 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 8 of 11 · Question 1 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Question number	Explain **one** possible reason why Christine serves large-sized meals. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context One reason is that Christine may prioritise caring for customer needs **(1)** because she has gained a positive reputation for serving large-sized meals **(1)** meaning, customers are more likely to remain loyal to her cafe **(1)** Accept any other appropriate response	(3)

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 8 of 11 · Question 1 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The tertiary sector involves the production of services in the economy • The secondary sector is the production of finished/semi-finished goods from raw materials • As costs of production for manufactured goods decreased in certain parts of the world, it became more difficult for firms in countries such as Germany, the UK and the US to compete • As a result, some firms may have had to cease trading or reduce the number of workers employed • The reduction in jobs in the secondary sector would discourage people from training to do manufacturing jobs • Instead, they are more likely to train in areas such as the tertiary sector, where there is an increasing demand for services, such as entertainment and restaurants due to rising incomes and therefore more employment opportunities in this sector

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 8 of 11 · Question 1 part c · 2 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **Answer**	Mark

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 9 of 11 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{\$22\,950 - \$20\,250}{\$20\,250} \times 100$ **OR** $\frac{\$\,2\,700}{\$\,20\,250} \times 100$ **(1)** Award 1 mark for correct percentage change = 13.33% **(1)** Award 2 marks if percentage change is correctly calculated as 13.33%, even if no calculations are shown Award 1 mark if percentage change is calculated as 13.33, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 9 of 11 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Price elasticity of demand (PED) is the responsiveness of demand to a change in price • Inelastic demand means a rise in price will lead to a smaller percentage change in the quantity demanded • PED is likely to be more inelastic at Marina Café because it is situated in a popular location, with sea and mountain views • This means that the degree of necessity is likely to be higher for customers wishing to enjoy the scenery at the same time as their drinks • Therefore, Marina Café has few substitutes because not many of the cafés will have the additional benefit of this location • In addition, the price of a coffee is a small percentage of income, meaning customers will be less likely to reduce their demand due to a rise in price • As a result, customers may be prepared to pay €1.20 more at Marina Café than at alternatives, or even pay more if the price was increased further

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 9 of 11 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Raphael to increase productivity in his pastry-making factory. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Division of labour means dividing the production process into different stages where each worker specialises in one task • Productivity is the amount of output that can be produced in a period of time, with a given quantity of resources • Division of labour leads to less time being wasted as workers will not have to switch between different parts of production such as mixing ingredients and shaping the dough • This means the employees at the pastry-making factory can become more productive as they are able to develop skills in the task they perform, becoming more specialised • This may be particularly important in order for Raphael's factory to meet demand from the restaurants and street vendors in Madrid, to whom it sells • It can be easier to integrate machinery into the production process as the tasks are broken down into different stages **AO4** • However, the pastry-making factory employees may find doing the same task, such as combining the cooled mixture with egg, very boring and monotonous • This could mean they lose concentration and may make mistakes, leading to a lower rate of productivity • Therefore, a delay in supplying the pastry for churros to restaurants and street vendors in Madrid could occur and lead to a loss of business for the factory • This is especially likely as the restaurants are busy and may be unable to meet their own customer's demand for churros without the pastry • Improving the quality of labour by training employees to use pastry-making equipment could increase productivity more, as could investing in more advanced facilities with which to bake • It depends whether the pastry-making tasks require much training as they maybe more suited to the division of labour process • Raphael could introduce rotation of tasks to reduce the monotony or use division of labour alongside other factors, such as advanced baking facilities

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 9 of 11 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 9 of 11 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

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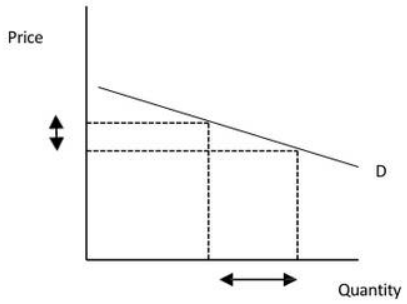
Type MS · Division of labour: meaning, benefits and drawbacks

Answer 10 of 11 · Question 3 part d · 6 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** The school-leaving age A is not correct because this would increase the supply of labour C is not correct because this would mean more people were available to work D is not correct because this would affect the demand for labour	**(1)**

Question number	Which **one** of the following is the formula to calculate total revenue? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Quantity sold x price B is not correct because this does not allow revenue to be calculated C is not correct because this does not account for units sold D is not correct because this does not calculate revenue	**(1)**

Question number	Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for drawing elastic demand curve, labelled Award 1 mark for showing smaller price change on the axis Award 1 mark for showing a greater change in the quantity on the axis  	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 10 of 11 · Question 3 part d · 6 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Division of labour involves breaking down the production process into smaller tasks • Each worker specialises in only one task, such as filling bottles, sealing with caps or adding labels • By specialising, efficiency is improved because workers can carry out these tasks more quickly, allowing more than one million drinks to be bottled each day • This leads to an increase in productivity and lower average costs of production of drinks such as Fanta and Sprite • The 1,000 workers do not need to waste time moving across the 65,000m^2 site between tasks and so greater efficiencies are created, again lowering average production costs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 10 of 11 · Question 3 part d · 6 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether supply is likely to be more price elastic for textiles than for agricultural products. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Price elasticity of supply (PES) measures the responsiveness of supply to a change in price • PES is affected by how quickly and easily supply can change when price changes • A product has an elastic PES if the percentage change in supply is greater than the percentage change in price. The greater the difference, the more price elastic the supply of the product • Supply of textiles does not depend on natural factors like the weather whereas it does for agricultural products, meaning it is easier to change supply of textiles in response to a change in price • Agricultural products, such as fruit, are perishable as well as needing time to grow but textiles can be stored, meaning the supply of agricultural products is less likely to change in response to a change in price compared to the supply of textiles • Supply of textiles is more price elastic because, unless you are operating at full capacity it is possible to work an extra shift and increase production **AO4** • However, if operating at full capacity, it takes time and a range of machinery to produce textiles, making it more difficult to change production to respond to a change in price • The cost involved when producing textiles means firms may not be able to afford to produce them to store. This may make the supply of textiles less price elastic • It may depend on the growing conditions in Bangladesh whether the farmers can adjust growing in response to a change in price • Supply of agricultural products might be more price inelastic in the short run but in the long run producers may be able to adjust techniques to respond to changes in price more quickly

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 10 of 11 · Question 3 part d · 6 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 10 of 11 · Question 3 part d · 6 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working. **Answer**	**Mark**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 11 of 11 · Question 2 part g · 9 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this shows unitary elasticity C is not correct because it shows inelastic demand D is not correct because it is perfectly inelastic	**(1)**

Question number	Which **one** of the following is the formula for calculating average cost? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Total cost ÷ quantity produced B is not correct because only fixed cost is included C is not correct because only variable cost is included D is not correct because revenue is not used in this calculation	**(1)**

Question number	Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation $12.50 - ($3.25 + $4.58) **(1)** Award 1 mark for calculating correct profit = $4.67 **(1)** Award 2 marks if profit is correctly calculated as $4.67, even if no calculations are shown Award 1 mark if the answer given is 4.67 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term patent?	**Mark**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 11 of 11 · Question 2 part g · 9 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

	Answer	
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A licence to be the only producer **(1)** of a newly designed product **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** advantage to a firm of being privatised. Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage The firm is able to set its own objectives **(1)** as it takes control over its own actions **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • It may encourage the driver to stop. **(1)** As driving through a red traffic light may cause accidents, **(1)** fines are likely to reduce the number of accidents **(1)** • It may reduce accidents **(1)** because the driver does not want to be fined, **(1)** so they are less likely to drive through a red light **(1)** Accept any other appropriate response	**(3)**

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 11 of 11 · Question 2 part g · 9 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • By using division of labour each worker at the car manufacturing firm can specialise on a single part of the production process, such as inspection or testing • This means they can become more skilled at that particular task and removes the need to move around the factory as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Therefore, car dealers buying the vehicles and their customers can be sold the cars more quickly and/or at lower prices, potentially leading to higher revenue for the car manufacturing firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as welding a specific component • Therefore, they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the car manufacturer if it needs to replace employees • Mistakes or slow production at one stage (such as painting) may hold up a later stage and therefore customers would still need to wait for their car orders

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 11 of 11 · Question 2 part g · 9 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Division of labour: meaning, benefits and drawbacks

Answer 11 of 11 · Question 2 part g · 9 marks

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Question number	Which **one** of the following could cause a shift in the demand curve for a product? **Answer**	**Mark**